

KEEL pitch deck

PITCH — KEEL — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION): DO NOT BUY — stay flat; the stock at \$3.31 already prices more megawatts than the company's own SEC filings disclose; re-open only on the specific filing triggers and price band below.

What we believe

Keel Infrastructure Corp. (formerly a bitcoin miner; it acquired Stronghold Digital Mining in March 2025) is trying to convert power sites into AI/high-performance-computing datacenters. The stock is at \$3.31, down 55% from its 52-week high of \$7.37, but still nearly triple its 52-week low of \$1.18.

Our conclusion after a two-sided internal review: **the equity today is essentially a lottery ticket on utility interconnection applications, not on assets the company actually controls.** The company's press release markets an "850 MW" near-term story and a "2.2 gigawatt development pipeline." Its own 10-Q — the legally vetted document — discloses only about **251 MW** of site capacity (Panther Creek ~60 MW, Scrubgrass ~63 MW, Sharon 110 MW planned, Washington State 18 MW), plus a further **96 MW at Sherbrooke that transfers only if conditions are met** (disclosed in the 8-K, not the 10-Q). The gap between what is marketed and what is filed is the central finding, not a footnote.

We also believe the balance sheet is weaker than the bull story admits: **\$1.046 billion of convertible notes** (\$588M at 1.375% due January 2031, converting around \$6.86; \$458M at 1.25% due January 2032, converting around \$7.41) against \$769M of cash including restricted amounts. Both conversion prices are more than double today's stock price, so this is real debt, not quasi-equity. The company burned \$117.6M of operating cash in the first half of 2026; its cash funds roughly 70–90 MW of datacenter construction — a fraction of even the vetted site list.

Working entirely from the company's filed numbers, if every disclosed megawatt were fully financed, built, and leased at the **top** of the plausible rent range (\$170 per kilowatt-month), the shares would be worth about **\$4.84** — only +46% from here, before any execution risk. At a mid-range rent (\$140), the vetted assets support roughly **\$2.14–\$3.04** per share, i.e., at or below today's price. Our internal bar for this kind of speculative name (+50% upside on the vetted record) does not clear at any reasonable assumption.

What the market believes

At \$3.31 the market is valuing Keel at roughly \$2.0–2.2 billion of enterprise value on **zero datacenter revenue**. That valuation only makes sense if you credit a large part of the marketed 850 MW / 2.2 GW

pipeline — capacity that exists today mostly as applications in utility interconnection queues, not as signed agreements or filed per-site disclosures. In other words, the market is already paying for a substantial probability that the applications convert into real, leased datacenters.

There are genuine bullish signals the market may be reading: the CEO (Gagnon) made an open-market purchase of 58,888 shares at ~\$3.33 on August 13 (small in dollars, ~\$196k, but +4.6% of his direct stake); there is a real wave of construction-related job postings near the Pennsylvania sites; the company says three priority sites are “nearing full permitting with multiple prospective tenants negotiating for each one”; and a new 5%+ holder filed a 13G on July 29. None of these change the arithmetic above, but they explain why the stock holds a multi-billion valuation pre-revenue.

Why we might have edge

- **We read the primary documents; much of the market is trading the press release.** The 10-Q per-site megawatt disclosure (the ~251 MW total) directly contradicts the marketed aggregate, and we verified this from the SEC filing itself:
<https://www.sec.gov/Archives/edgar/data/1812477/000181247726000023/keel-20260630.htm>
— both of our independent review teams read it verbatim.
- **We did the valuation from the filed record, both directions.** Our upside table assumes perfect financing, perfect construction cost (\$9M/MW), full lease-up, and a generous capitalization rate — and it *still* fails our bar. That is a strong result: the failure isn’t assumption-sensitive at the top of the range.
- **We caught the debt understatement.** The original pitch cited “\$458M of converts.” That was half the stack; the true figure is \$1.046B across two note series. This is exactly the kind of error the market’s casual bulls are likely repeating.
- **We identified an earlier trigger than the obvious one.** Everyone waits for a signed anchor lease. The company’s own language says permitting completes *first* — a permit-completion 8-K is the earlier, cheaper signal, and we can watch for it.

Why it might be priced in

Honesty requires the symmetric case:

- **The bear case may itself be consensus.** The stock is already down 55% from its high; a 2x-out-of-the-money convert stack and pre-revenue status are visible to anyone. Keel carries multi-analyst coverage (count unverified — a gap on our side), so this is not an undiscovered name where our reading is unique.
- **The 10-Q’s silence on pipeline MW may be conservatism, not concealment.** Vetted filings often disclose only current assets; development pipelines legitimately live in investor materials. Our review explicitly tested this (“is the divergence apples-to-oranges?”) and judged the venue choice itself informative — but a signed lease or approved interconnection would collapse this distinction overnight, in the bulls’ favor.

- **The genuinely adverse cluster is real:** CEO buying, hiring waves, “nearing full permitting,” and a new 5% holder all arrived in the last six weeks. If permits complete and one 100+ MW lease signs at \$140+/kW-month, our own math says the value can clear our bar — this is why we set tight triggers rather than discarding the name.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“574 MW hard-secured at a steep discount” (original pitch)	Full read of the 10-Q from SEC.gov, both review teams independently	No such figure anywhere in the vetted filing; per-site total ~251 MW; the 2.2 GW is a marketing aggregate in the 8-K press release only	REFUTED — fatal to the pitch
“Trades above fair value at ANY rent” (our own first-pass bear team)	Second team recomputed with the full filed record	Our bear team erred twice: it excluded the 18 MW Washington site and the 96 MW conditional Sherbrooke transfer, and excluded \$121M of unencumbered bitcoin from net cash (true net debt \$136M, not \$257M). Corrected best case: \$4.84/share at top rents — +46%, not negative	Partially — the kill survives (+50% bar still fails) but the headline was overstated
“\$458M of converts” (original pitch)	10-Q debt note	\$1.046B principal across two series (2031 and 2032), both converting >2x today’s price	REFUTED — debt is double what was pitched
Cash position and burn	10-Q cash flow statement and balance sheet	\$715.5M cash + \$53.4M restricted; H1 operating cash burn \$117.6M plus \$53M capex and \$72M prepayments; funds ~70–90 MW of build	Confirmed
CEO insider buy	Form 4 from SEC.gov, read directly	Open-market purchase, 58,888 shares at \$3.32–3.33 on 8/13; ~\$196k; +4.6% of his direct holdings	Confirmed (a point <i>against</i> our bear case, entered faithfully)
Satellite check for construction activity	Sentinel-2 imagery, 3 sites	No construction visible — but our own evidence was weak: two of three scenes were stale (Aug/Oct 2025) and centered on towns, not the parcels. We downgraded this ourselves and lean on it in neither direction	Not reliable either way
Hiring activity near sites	Job-posting velocity check	Real wave (50 requisitions near Nesquehoning, PA, 16 in August) — but postings belong to regional contractors, not confirmed to Keel’s parcels	Suggestive, unresolved
Tape used in first-pass analysis	Cross-checked against same-day quote	Our bear team ran its math on a stale price (\$3.51); corrected to \$3.31 in the second pass	Corrected
Share count stability	XBRL cover-page data	603.8M → 617.6M shares in 13 weeks (~9%/yr creep), plus a live shelf registration; cause (warrants/RSUs vs. issuance) not pinned down	Confirmed as a sizing risk

PROPOSED ENTRY BANDS

The courts say no entry today. Both teams agree: flat, no starter position. The re-open conditions, taken from the benches' own math:

Re-open on price (dislocation): below ~\$2.15, the stock would trade at or under the fully-funded, fully-leased value of the *unconditional* filed assets (251 MW at \$140/kW-month rent = \$2.14/share) — meaning the entire application pipeline comes free. At that level, rebuild the valuation table and consider a starter; do not buy mechanically, because the convert stack (\$1.046B) and cash burn can make cheap cheaper.

Re-open on filings (any one of these, then re-run the valuation table before sizing): 1.

Permit-completion 8-K on any of the three priority sites — the earliest clock, per the company's own "nearing full permitting" language. 2. **Signed anchor lease of ≥100 MW with an investment-grade tenant at ≥\$140/kW-month** — the benches' math says the value can then clear +50%: at \$140 rent the record needs ~590 MW leased, at \$170 it needs ~360 MW, so one large lease plus visible pipeline conversion is the shape that works. 3. **Any 10-Q/10-K that moves pipeline megawatts into per-site disclosed capacity** (e.g., Panther Creek 350 MW or Scrubgrass expansion appearing in the vetted document rather than the press release).

Explicitly not an entry trigger: buying *after* a lease announcement at whatever price it gaps to — the first-pass team's warning stands that a 60–100 MW lease resolves into a price that already assumed it. The lease trigger is a signal to re-run the math at the then-current price, not to chase.

Sizing if re-opened: speculative-bucket sizing only (the convert stack, burn rate, and share creep cap this as a small position regardless of trigger quality).

Catalyst dates: next earnings ~**2026-11-09** (derived from a data vendor, **not confirmed** by any company announcement); the decisive events — permit and lease 8-Ks — are unscheduled.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.15 (deck-provisional: fully-funded fully-leased value of unconditional filed 251MW at \$140/kW-mo rent (\$2.14/sh) - below thi)
- filing watch: 8-K until 2027-02-11 (deck-provisional: permit-completion or signed anchor lease (≥100MW, IG tenant, ≥\$140/kW-mo) on the three priority site)
- dated pack KEEL|2026-11-09: KEEL: next earnings print (vendor-derived, no company PR names it) (date confirmed=False)

What remains unverified

- **Market rents and capitalization rates for HPC/datacenter colocation** — no tool on the desk covers this; the \$110–170/kW-month band and 8.5% cap rate are industry-standard

assumptions, not verified quotes. This is the single biggest swing factor in every valuation number above.

- **The identity and intent of the July 29 13G filer** — filed during the price spike; unread by both review teams.
- **The next earnings date** (vendor-derived, no company confirmation).
- **Cause of the share-count creep** (warrants/RSUs vs. shelf issuance) — 13.8M new shares in 13 weeks.
- **Whether the 96 MW Sherbrooke transfer's conditions will be met** — it is a third of the upside in the best-case table.
- **Whether the job postings resolve to Keel's parcels** — currently attributed to regional contractors.
- **Analyst coverage count and positioning** — asserted as multi-analyst but not verified; the “is the bear case already priced?” question is therefore partly open.
- **Physical-plant checks never run:** thermal imaging of the legacy Scrubgrass plant (utilization), methane/plume checks on the waste-coal operations, and natural-hazard scoring of the PA/WA parcels — all flagged as checkable but not executed this session.

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